EDUCATIONAL ANALYSIS

Wealth Strategy Snapshot

2026 Tax Year Planning | Prepared for **Soojin Jun** | April 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile. As a W-2 professional with a growing coaching LLC, you have meaningful opportunities across retirement contributions, business deductions, and — in the aggressive scenario — short-term rental real estate with cost segregation under the One Big Beautiful Bill Act (OBBBA), which permanently restored 100% bonus depreciation.

> **Based on the strategies modeled throughout this document, this snapshot models potential first-year value ranging from $101,782 (conservative scenario) to $385,780 (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.**

Current Financial Position

Income & Employment

Filing Status	Married Filing Jointly
Age	49 (no catch-up contributions for 2026)
W-2 Income	$200,000 – $299,000
Self-Employment Income	$100,000 – $149,000 (Single-Member LLC, sole prop)

Investment Income	<$25,000
Est. Combined Income	~$350,000 (midpoint)
Est. Federal Marginal Rate	24% (MFJ taxable income falls in the $211,401–$403,550 bracket)
Est. Combined Marginal Rate	~28.95% (24% federal + 4.95% Illinois flat rate)

Assets & Liabilities

Liquid Capital	$250,000 – $499,000
Comfortable Deploying	$5,000 – $10,000 (conservative posture)
Home Value / Equity	$800,000 / $100,000+ equity
Mortgage Payment	$4,500/month
Credit Score	760+
Bitcoin Position	Small (<1% of portfolio)
Tax Debt	$10,000 (in progress)

Business & Deduction Status

Entity	Single-Member LLC (1–2 years old)
LLC Focus	Coaching business (building)
Home Office	Yes — dedicated exclusive-use room
Vehicle Use	Occasional business (<25%) — 2018 Toyota Highlander
HSA Status	Contributing, but not maximizing
Retirement Accounts	W-2 employer plan (not maxing); no Solo 401(k) yet
Backdoor Roth	Not yet utilized

Goals & Interests

Primary Goals	Reduce 2027 tax bill; start real estate side income path
Risk Profile	Moderate (balanced growth & stability); spouse is risk-averse
RE Interest	Very interested — co-hosting, arbitrage, ownership, house hacking
Time Available	2–5 hours/week
Timeline	Medium-term (3–6 months to begin)
Side Income Interest	Consulting, coaching, real estate, content creation
Key Concern	Spouse risk tolerance gap; desire to manage finances independently

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Week 1 — Tax Foundation

2025 Cleanup: Discuss 2025 IRA/HSA contributions with CPA before April 15, 2026. Both spouses may contribute $7,000 each to Roth IRA for 2025.

Solo 401(k): For 2026 employee deferrals, plan must be established by Dec 31, 2026. Discuss timing and custodian selection with CPA.

Week 2 — Retirement & HSA

HSA: Verify HDHP enrollment allows family contribution of $8,750 (2026). Discuss increasing payroll contributions to maximize.

Backdoor Roth: Discuss pro-rata rule with CPA. Confirm no existing traditional IRA balances for either spouse before proceeding.

Week 3 — Business Deductions

Augusta Rule: Research comparable rental rates for Libertyville, IL homes. Document business-use days for LLC meetings/trainings.

Home Office: Measure dedicated room; gather mortgage, utility, and insurance records for actual-method comparison.

Week 4 — Growth Exploration

Real Estate: Research STR markets; discuss investment structure and risk comfort level with spouse. Consider co-hosting as a low-capital entry point.

W-4 Optimization: After estimating new deductions, discuss withholding adjustment with CPA to improve monthly cash flow.

Spousal Considerations

Client has noted a difference in risk tolerance with spouse and a desire for greater financial independence. Discussion points for your advisory team:

- Entity structuring that isolates LLC activity from joint household finances
- Separate investment accounts for individual risk profiles
- Communication frameworks for aligning on shared goals vs. individual goals
- Gradual exposure approach — co-hosting or arbitrage as lower-capital, lower-risk RE entry before ownership

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Traditional/Roth IRA	$7,000 per spouse (age 49, no catch-up)	April 15, 2026	Up to $14,000 total (via Backdoor Roth if over income limit)

HSA	$8,550 family (age 49, no catch-up)	April 15, 2026	Contribute difference between current contributions and $8,550
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Only if Solo 401(k) was established before Dec 31, 2025
SEP IRA	25% of compensation, up to $69,000	Tax filing + extensions	Alternative if no Solo 401(k) existed in 2025

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

The following strategies are educational illustrations of how common tax provisions may apply to someone with your profile. Verify eligibility with your CPA. All limits reflect 2026 IRS guidance per Rev. Proc. 2025-32.

Strategy Concept: Solo 401(k) Contributions

Potential Value: ~$13,777 in modeled tax savings

What It Is: A retirement plan for self-employed individuals allowing both employee and employer contributions. At a ~28.95% combined rate, contributing ~$47,588 (employee $24,500 + employer ~$23,088) models potential tax savings of ~$13,777.

How It Works:

1. Plan must be established by December 31, 2026 for employee deferrals
2. Employee portion ($24,500) contributed via payroll by Dec 31; employer portion by tax filing deadline
3. Employer contribution for sole proprietors: computed as ~20% of net self-employment earnings (the 25% rate is reduced for self-employed individuals per IRS rules)
4. Custodian selection — Fidelity, Schwab, and Vanguard offer no-fee options

Eligibility Criteria: Self-employment income, no full-time W-2 employees in the LLC (spouse exception applies). Age 49 — no catch-up contribution available until age 50.

Important: W-2 Plan Coordination

The $24,500 employee deferral limit is shared across ALL 401(k) plans. If you are currently contributing to your W-2 employer's 401(k), those deferrals reduce what you can contribute as employee deferrals to a Solo 401(k). Discuss coordination with your CPA.

Verify contribution limits and eligibility with your CPA. 2026 limits shown. Note: W-2 employer plan contributions reduce the $24,500 employee deferral limit across all plans.

Strategy Concept: HSA Maximization

Potential Value: ~$2,533 in modeled tax savings

What It Is: A triple-tax-advantaged account (deductible contributions, tax-free growth, tax-free qualified withdrawals). The 2026 family limit is $8,750. At ~28.95% marginal rate, full contribution models ~$2,533 in tax savings.

How It Works:

1. Verify HDHP enrollment qualifies for HSA contributions
2. Increase payroll deductions or make direct contributions up to $8,750
3. Consider investing HSA funds for long-term growth (beyond emergency medical reserves)

Eligibility Criteria: Must be enrolled in a qualifying High Deductible Health Plan. Age 49 — no HSA catch-up until 55.

Verify HDHP qualification and current contribution balance with your benefits administrator. 2026 limits shown.

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Tax-free growth vehicle — $15,000/year positioned ($7,500 × 2)

What It Is: A two-step process allowing high earners to fund Roth IRAs despite income limits. Contribute $7,500 each to traditional IRA, then convert to Roth. No direct tax deduction, but all future growth is tax-free.

How It Works:

1. Confirm neither spouse has existing traditional IRA balances (pro-rata rule)
2. Contribute $7,500 each to non-deductible traditional IRA
3. Convert to Roth IRA promptly; report on Form 8606

Eligibility Criteria: Works regardless of income level. Pro-rata rule applies if existing traditional IRA balances exist — discuss rollover options with CPA.

This strategy requires careful coordination. Discuss with your CPA before proceeding, especially regarding the pro-rata rule. 2026 limit: $7,500 per person.

Strategy Concept: Augusta Rule (IRC §280A)

Potential Value: $2,027 – $2,837 in modeled tax savings

What It Is: A provision allowing a homeowner to rent their personal residence to their business for up to 14 days per year, tax-free to the homeowner. The LLC takes a business deduction; the rental income is excluded from personal taxable income.

How It Works:

1. Document fair market rental rate for your Libertyville home (research comparable event/meeting spaces)
2. Rent home to LLC for legitimate business purposes (team meetings, coaching sessions, strategy days) — up to 14 days
3. LLC pays $500–$700/day; deducts as business expense. You receive $7,000–$9,800 tax-free.

Eligibility Criteria: Own home, operate business, genuine business use, documented FMV. $800K home in Libertyville supports $500–$700/day comparable rate.

Maintain documentation: rental agreement, meeting agenda, attendee records, comparable rate evidence. Discuss with CPA.

Strategy Concept: Home Office Deduction

Potential Value: $434 – $1,448 in modeled tax savings

What It Is: A deduction for the business-use portion of home expenses. Simplified method: $5/sq ft up to 300 sq ft ($1,500 max). Actual method: proportional share of mortgage interest, taxes, utilities, insurance, depreciation.

How It Works:

1. Measure dedicated room square footage
2. Compare simplified ($1,500 max) vs. actual method with CPA
3. On $800K home, actual method may yield $3,000–$5,000 deduction (varies by room size and expenses)

Eligibility Criteria: Dedicated room used regularly and exclusively for business — confirmed in your intake responses.

Discuss simplified vs. actual method with CPA. Document exclusive business use. 2026 simplified rate: $5/sq ft.

Strategy Concept: Vehicle Expense Deduction

Potential Value: ~$630 in modeled tax savings

What It Is: Business mileage deduction at 72.5¢/mile (2026 rate). At <25% business use with estimated 3,000 business miles, deduction models ~$2,175, yielding ~$630 tax savings at 28.95%.

How It Works:

1. Begin logging all business miles with a mileage tracking app (MileIQ, Everlance)
2. Track from January 1, 2026 — include client meetings, networking, business errands
3. As coaching business grows, business miles may increase substantially

Eligibility Criteria: Business use of personal vehicle with contemporaneous mileage log.

Mileage log must be maintained contemporaneously. Discuss standard mileage vs. actual expense method with CPA. 2026 rate: 72.5¢/mile.

Strategy Concept: W-4 Optimization

Potential Value: $2,400 – $6,000 in modeled cash flow improvement

What It Is: Adjusting W-4 withholding to account for new business deductions and retirement contributions prevents over-withholding, freeing $200–$500/month in take-home pay.

How It Works:

1. After estimating 2026 deductions with CPA, recalculate required withholding
2. Submit updated W-4 to employer
3. Monitor quarterly to avoid underpayment penalty

Eligibility Criteria: Any W-2 employee who is currently over-withheld due to new deductions.

Work with your CPA to avoid underpayment penalties. Estimated tax payments may be needed for SE income regardless.

Strategy Concept: STR + Cost Segregation (Aggressive Scenario)

Potential Value: $25,700 – $34,300 in modeled first-year federal + state tax benefit

What It Is: Acquiring a short-term rental property and performing a cost segregation study to accelerate depreciation. Under the One Big Beautiful Bill Act (OBBBA, signed July 4, 2025), 100% bonus depreciation has been permanently restored for qualified property acquired and placed in service after January 19, 2025. On a $350K–$400K property, a cost segregation study may reclassify 25–40% of the building basis (not full property value) into 5-, 7-, and 15-year property eligible for 100% first-year bonus depreciation.

How the Math Works (Illustrative — $375K Property):

1. Purchase price: $375,000. Land estimate (20%): $75,000. Building basis: $300,000.
2. Cost seg reclassifies ~35% of building basis: ~$105,000 eligible for 100% bonus depreciation (federal)
3. Remaining building basis: $195,000 ÷ 27.5 years = ~$7,091 annual straight-line depreciation
4. Total Year 1 depreciation: ~$112,091
5. Federal tax benefit: $112,091 × 24% = ~$26,902

Illinois Bonus Depreciation Decoupling (2026): Public Act 104-0453 requires Illinois taxpayers to add back federal bonus depreciation for tax years beginning on or after January 1, 2026. Illinois will only allow standard depreciation schedules. This means the state tax benefit is limited to standard depreciation (~$10,909 × 4.95% = ~$540 in Year 1), not the full cost seg acceleration. The combined first-year tax benefit is approximately $27,442, not the ~$41,500 you would get if Illinois conformed to federal treatment. Discuss this with your CPA and factor it into your Illinois estimated tax payments.

Eligibility Criteria: Material participation in STR management (100+ hours, more than anyone else); average guest stay <7 days to avoid passive activity limitations.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. This strategy is modeled only in the aggressive scenario. Cost segregation study typically costs $3,000–$5,000.

Primary Strategy Education: Real Estate as a Tax & Income Vehicle

Based on your strong interest in real estate (all four entry strategies selected) and your goals of reducing taxes and building side income, this section provides deeper education on the real estate pathway.

The STR Tax Advantage — How It Works

Short-term rentals with an average guest stay under 7 days are not automatically classified as passive activities under IRC §469. When the property owner materially participates (100+ hours and more than any other person), losses from cost segregation can potentially offset W-2 and business income — a benefit typically unavailable with traditional long-term rental properties.

Illustrative STR Economics (Educational Model)

ITEM	MODELED RANGE	NOTES
Purchase Price	$350,000 – $400,000	Suitable STR markets within driving distance of Chicagoland
Down Payment (20%)	$70,000 – $80,000	Conventional financing at 760+ credit
Gross Rental Revenue	$45,000 – $60,000/yr	Market-dependent; verify with local data
Operating Expenses (40–50%)	$18,000 – $30,000	Cleaning, management, supplies, insurance, utilities, maintenance
Net Operating Income	$25,000 – $35,000/yr	Before mortgage; cash-on-cash varies by leverage
Cost Seg Year 1 Federal Benefit	$26,900 – $34,300	Based on building basis methodology (land excluded) × 24% federal rate; 100% bonus dep per OBBBA
Property Appreciation (3–6%)	$10,500 – $24,000/yr	Not guaranteed; market-dependent

Phased Entry — Matching Your Timeline & Risk Profile

Given your moderate risk profile and spouse's conservative preference, a phased approach is commonly discussed:

PHASE	STRATEGY	CAPITAL REQUIRED	TIME REQUIRED
Phase 1 (Months 1–3)	Co-hosting / Property management — build operational knowledge with zero capital risk	$0 – $2,000	5–10 hrs/wk
Phase 2 (Months 3–6)	Rental arbitrage — lease + furnish a unit to test STR revenue model	$5,000 – $15,000	5–10 hrs/wk
Phase 3 (Months 6–12)	Ownership — acquire property for full tax benefits (cost seg + income)	$70,000 – $80,000 down	5–10 hrs/wk

Real estate investing carries risks including vacancy, market fluctuation, unexpected repairs, and potential loss of capital. Verify all tax strategies with a qualified CPA and real estate attorney. This phased model is educational — not a recommendation to proceed.

Illustrative Portfolio Scenario

This scenario models one approach based on the moderate risk profile and growth + income goals indicated. It is not a recommendation to purchase any security.

Profile-Based Allocation Logic

Investment approach (moderate): 50–70% Bitcoin range. Goals (tax reduction + RE income): include STRC for passive yield. Time (2–5 hrs/wk): favor passive allocations. Result: 60/20/20 scenario modeled.

Conservative Scenario — $7,500 Capital (midpoint: $5K–$10K)

ASSET CLASS	SCENARIO %	ILLUSTRATIVE AMOUNT	EDUCATIONAL RATIONALE
Bitcoin	60%	$4,500	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption
STRC	20%	$1,500	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield
VTI / VOO	20%	$1,500	VTI offers broad U.S. market exposure at low cost (0.03% expense ratio); VOO tracks the S&P 500 for large-cap exposure

Aggressive Scenario — $300,000 Invested Capital ($375K liquid less ~$75K RE down payment)

ASSET CLASS	SCENARIO %	ILLUSTRATIVE AMOUNT	EDUCATIONAL RATIONALE

Bitcoin	60%	$180,000	Core position reflecting moderate-growth allocation; fixed supply thesis
STRC	20%	$60,000	Yield component generating modeled $7,200/yr passive income (at 12%)
VTI / VOO	20%	$60,000	Broad market diversification; lower volatility ballast

Verify current STRC yield at time of investment. Historical yields shown are not guaranteed.

These scenarios are for educational illustration. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative.

Modeled First-Year Value Summary (2026 Tax Year)

Conservative capital: $7,500 (midpoint) | Aggressive capital: $375,000 (midpoint), with ~$75K to RE down payment and ~$300K to investments. All tax savings calculated at ~28.95% combined marginal rate (24% federal + 4.95% Illinois).

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	CALCULATION BASIS
CATEGORY A: TAX OPTIMIZATION				
Tax	Solo 401(k)	$13,777	$13,777	~$47,588 × 28.95%
Tax	HSA Maximization	$2,533	$2,533	$8,750 × 28.95%
Tax	Augusta Rule	$2,027	$2,837	14 days × $500–$700 × 28.95%
Tax	Home Office	$434	$1,448	Simplified $1,500 to actual ~$5,000 × 28.95%
Tax	Vehicle (72.5¢/mi)	$630	$630	~3,000 mi × $0.725 × 28.95%
Tax	STR + Cost Segregation	$0	$27,442	Aggressive only: ~$112K Year 1 dep × 24% federal + standard dep × 4.95% IL (IL decoupled from bonus dep)

	Tax Optimization Subtotal	**$19,401**	**$48,667**	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield	$150	$7,200	$1,500 × 10% / $60,000 × 12%
Income	ETF Dividends	$23	$1,200	$1,500 × 1.5% / $60,000 × 2%
	Investment Income Subtotal	**$173**	**$8,400**	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin	$1,125	$90,000	$4,500 × 25% / $180,000 × 50%
Growth	STRC	$225	$18,000	$1,500 × 15% / $60,000 × 30%
Growth	VTI / VOO	$120	$7,200	$1,500 × 8% / $60,000 × 12%
	Appreciation Subtotal	**$1,470**	**$115,200**	
CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY)				
RE	STR Annual Cash Flow (NOI)	$0	$30,000	Midpoint of $25K–$35K
RE	Property Appreciation	$0	$16,875	$375K property × 4.5%
RE	Mortgage Principal Paydown	$0	$4,500	Year 1 amortization estimate
	Real Estate Subtotal	**$0**	**$51,375**	**Conservative = no RE**
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization	$2,400	$6,000	$200–$500/mo additional take-home × 12
	Cash Flow Subtotal	**$2,400**	**$6,000**	

CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	Retirement Contributions (Solo 401k + HSA)	$56,338	$56,338	~$47,588 + $8,750
Wealth	Backdoor Roth IRA (both spouses)	$15,000	$15,000	$7,500 × 2 (age 49, no catch-up)
Wealth	Augusta Rule Income Received	$7,000	$9,800	Tax-free under 14-day rule
Wealth	RE Equity Position (down payment)	$0	$75,000	20% down on ~$375K property
	Wealth Building Subtotal	**$78,338**	**$156,138**	
Total First-Year Modeled Value (2026)		**$101,782**	**$385,780**	

Important: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions (signed July 4, 2025). Illinois has decoupled from federal bonus depreciation for 2026; cost seg tax benefit reflects this split treatment. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

Verify all deadlines with your tax professional.

DATE	CONSIDERATION	RELEVANCE

April 15, 2026	Last day for 2025 IRA and HSA contributions	Maximize 2025 prior-year opportunities
Q2 2026	Estimated tax payment (Form 1040-ES) for SE income	Discuss quarterly payment amounts with CPA
Mid-2026	W-4 review after estimating 2026 deductions	Optimize withholding for new deductions
Q3 2026	RE acquisition window (if pursuing aggressive scenario)	Allows time for cost seg study before year-end
Dec 31, 2026	Solo 401(k) establishment deadline for 2026 employee deferrals	Plan must exist before year-end
Dec 31, 2026	401(k) employee contributions deadline (all plans)	Make all employee-side deferrals by this date
Dec 31, 2026	Augusta Rule events must occur in 2026 to claim 2026 deduction	Schedule and document LLC use of home
April 15, 2027	Last day for 2026 IRA and HSA contributions	Final opportunity for 2026 prior-year contributions

Questions for Your Professional Team

For Your CPA

- Based on my W-2 income and LLC SE income, what is my maximum 2026 Solo 401(k) contribution (employee + employer)? How does my W-2 employer 401(k) affect the employee deferral limit?
- Can I still make 2025 IRA and HSA contributions before April 15, 2026? What are the mechanics for my return?
- For Backdoor Roth: do either my spouse or I have existing traditional IRA balances that trigger the pro-rata rule?
- What documentation do I need for Augusta Rule rentals? What comparable rate is defensible for my home?
- Should I use the simplified or actual method for home office deduction? Which yields more at my home value?
- If I acquire an STR property in 2026, how does Illinois' decoupling from federal bonus depreciation (Public Act 104-0453) affect my cost segregation benefit and state estimated tax payments?
- Does my coaching LLC qualify for the QBI deduction? How do the SSTB phase-out rules apply at my income level?
- Should I evaluate S-Corp election for my LLC to reduce self-employment tax exposure?
- How should I structure quarterly estimated payments for my LLC income alongside W-4 withholding?

For Your Financial Advisor

- How does a 60% Bitcoin / 20% STRC / 20% broad market scenario align with my overall risk profile and time horizon?
- Given my spouse's conservative preference, how can we structure accounts to reflect different risk tolerances?
- What custodian options exist for Solo 401(k) accounts that allow alternative investments?

For Your Attorney

- Is my Single-Member LLC structure optimal, or should I explore S-Corp election for SE tax savings?
- If I acquire investment real estate, should it be held in a separate LLC?
- What asset protection considerations should I discuss given my home equity and growing business?

Professional Team Considerations

PROFESSIONAL	ROLE IN YOUR STRATEGY	WHEN TO ENGAGE
CPA / Tax Strategist	Verify all tax strategies, calculate exact contribution limits, file returns, manage estimated payments	Immediately — before April 15 for 2025 cleanup; ongoing for 2026 planning
Financial Advisor (RIA)	Investment scenario implementation, portfolio construction, risk assessment	After tax strategy framework is established with CPA
Real Estate Attorney	Entity structuring for RE, purchase agreements, LLC operating agreements	Before any real estate acquisition
Real Estate Agent / Mentor	Market analysis, STR revenue projections, deal evaluation	During Phase 1–2 of RE exploration
Insurance Professional	Verify HDHP/HSA qualification, RE liability coverage, umbrella policy	Annually and before RE acquisition

Milestone Checkpoints (2026)

These are suggested review points — not requirements. Adjust based on your pace and professional team guidance.

MILESTONE	TARGET WINDOW	KEY CONSIDERATIONS
2025 Cleanup Complete	By April 15, 2026	Prior-year IRA/HSA contributions finalized; 2025 return filed
2026 Tax Strategy Framework	By May 2026	Solo 401(k) custodian selected; HSA maximization in progress; W-4 updated
Investment Scenario Review	By June 2026	Portfolio scenario discussed with licensed advisor; initial positions if appropriate
RE Exploration Decision	By Q3 2026	Co-hosting trial complete; arbitrage or ownership decision framework established
Mid-Year Tax Check	July 2026	Review estimated payments, deduction tracking, Augusta Rule documentation
Year-End Optimization	November 2026	Maximize retirement contributions; confirm Solo 401(k) established; finalize Augusta Rule events
Annual Review	January 2027	Assess 2026 results; plan 2027 strategies; adjust investment scenario as needed

Educational Resources

2026 Contribution Limits Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50–54, 64+)	SUPER CATCH-UP (60–63)	YOUR 2026 LIMIT (AGE 49)
401(k) / Solo 401(k) Employee Deferral	$24,500	+$8,000	+$11,250	$24,500
401(k) Total (Employee + Employer)	$72,000	+$8,000	+$11,250	$72,000

HSA (Family Coverage)	$8,750	+$1,000 (55+)		$8,750
HSA (Individual)	$4,400	+$1,000 (55+)		N/A (family)
Traditional / Roth IRA	$7,500	+$1,100	N/A	$7,500
Business Mileage Rate	72.5¢ per mile			

OBBBA Key Provisions (Signed July 4, 2025)

PROVISION	DETAIL	YOUR RELEVANCE
100% Bonus Depreciation	Permanently restored for property acquired after Jan 19, 2025	Critical if pursuing STR cost segregation
SALT Cap Raised	$40,000 (up from $10,000)	May benefit itemization analysis with IL income + property taxes
Section 179 Expanded	$2,500,000 max (phase-out at $4,000,000)	Alternative to bonus dep for certain business assets
Non-Itemizer Charitable Deduction	$2,000 MFJ for cash contributions	Available if taking standard deduction
Child Tax Credit	$2,200 per qualifying child (up from $2,000)	Verify qualifying children with CPA
TCJA Individual Rates	Made permanent (was set to expire after 2025)	24% bracket confirmed ongoing
QBI Deduction	20% pass-through deduction made permanent	Discuss eligibility for coaching LLC with CPA

SECURE 2.0 Act — Key Provisions for Future Years

Starting 2026, if you earned $150,000+ in FICA wages from the same employer in the prior year, any catch-up contributions must be made as Roth (after-tax). At age 49, this does not currently apply to you, but will become relevant at age 50 (2027). Discuss Roth catch-up planning with your CPA as you approach age 50.

Key IRS Publications (for reference)

PUBLICATION	TOPIC
IRS Pub 560	Retirement Plans for Small Business (Solo 401k, SEP)
IRS Pub 969	Health Savings Accounts (HSA)
IRS Pub 587	Business Use of Your Home
IRS Pub 463	Travel, Gift, and Car Expenses
IRS Pub 527	Residential Rental Property
IRS Pub 946	How to Depreciate Property (Cost Segregation)

For educational reference only. Tax laws change regularly. Verify current rules with your tax professional and at IRS.gov.

Important Disclaimers

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Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of April 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Illinois bonus depreciation decoupling per Public Act 104-0453 has been noted where relevant. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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